QUARTERLY INVESTOR REPORT

Kestrel Station District | Raleigh, NC

Investment	Kestrel Station District
Quarter	3Q 2019
Report Date	September 26, 2023
Sponsor	Anchorage Meadow Partners
Occupancy	90.0%

Investor Distributions

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The property is walkable to transit, with 24 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns.

Leasing and Marketing

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members. The property is walkable to transit, with 11 structured parking spaces shared between uses.

The property is walkable to transit, with 38 structured parking spaces shared between uses. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 91.5% of billed charges, with bad debt of 6.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day.

Investor Distributions

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Distributions to investors for the quarter were paid at an annualized rate of 4.4% on contributed capital. The property is walkable to transit, with 26 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Distributions to investors for the quarter were paid at an annualized rate of 5.8% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Projected levered IRR is 6.0% with an equity multiple of 1.30x over the hold period.

Leasing and Marketing

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Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The property is walkable to transit, with 37 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Projected levered IRR is 10.5% with an equity multiple of 1.27x over the hold period.

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 90.0% of billed charges, with bad debt of 4.5% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 19 hours. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 92.4% of billed charges, with bad debt of 3.4% of gross potential income. The property is walkable to transit, with 10 structured parking spaces shared between uses. Service requests are tracked through a work-order system with an average completion time of 26 hours. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Risk Considerations

Projected levered IRR is 10.2% with an equity multiple of 1.20x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 6.3% on contributed capital. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 11 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Projected levered IRR is 6.1% with an equity multiple of 1.2x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Leasing and Marketing

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 19 hours. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The property is walkable to transit, with 14 structured parking spaces shared between uses. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 6 additional team members. The property is walkable to transit, with 25 structured parking spaces shared between uses. Collections for the period were 95.3% of billed charges, with bad debt of 3.9% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 4 hours.

Investment Overview

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg D	Site	11/14/24	Q2 2027	$820,000	$377,217	Complete
Landscape / irrigation	Interior	10/04/24	Q3 2026	$600,000	$139,270	Approved
Lobby renovation	Life Safety	06/17/25	Q4 2025	$199,000	$49,039	Approved
ADA compliance	Life Safety	07/13/25	Q3 2025	$12,000	$184	In progress
Lobby renovation	Life Safety	01/05/26	Q1 2025	$516,000	$323,033	Bidding
Landscape / irrigation	Interior	06/11/24	Q2 2026	$300,000	$35,971	Approved
Fence replacement	Energy	11/13/26	Q2 2026	$391,000	$216,892	In progress
ADA compliance	Building	08/18/26	Q3 2026	$881,000	$637,671	Approved
Amenity renovation	Site	01/07/25	Q2 2025	$446,000	$255,344	Deferred
Parking lot resurfacing	Energy	07/16/23	Q3 2027	$346,000	$296,284	Deferred
HVAC replacement	Building	06/16/26	Q1 2025	$404,000	$404,133	In progress
Lobby renovation	Site	05/22/23	Q2 2025	$867,000	$624,892	Complete
ADA compliance	Interior	02/28/26	Q2 2027	$103,000	$99,914	Bidding
HVAC replacement	Site	07/08/25	Q2 2027	$19,000	$17,698	In progress
Fire alarm panel upgrade	Energy	11/03/23	Q1 2027	$751,000	$65,236	Bidding
Fire alarm panel upgrade	Interior	07/18/23	Q3 2025	$437,000	$50,600	Bidding
Parking lot resurfacing	Interior	08/06/23	Q2 2026	$816,000	$105,006	Bidding
Door hardware	Interior	03/17/23	Q4 2026	$74,000	$72,742	Bidding
Elevator modernization	Building	07/16/25	Q3 2025	$684,000	$300,313	Complete
Signage / monument	Site	02/14/23	Q4 2027	$280,000	$85,507	Approved
Roof replacement - Bldg A	Building	12/04/25	Q2 2025	$307,000	$26,927	In progress
Landscape / irrigation	Site	11/07/23	Q1 2025	$587,000	$154,357	Complete
Landscape / irrigation	Building	05/05/23	Q1 2025	$567,000	$347,376	Approved
Pool resurfacing	Energy	11/27/25	Q2 2026	$111,000	$13,251	Approved
Landscape / irrigation	Energy	02/12/25	Q2 2027	$419,000	$170,254	Bidding
Signage / monument	Building	11/18/25	Q3 2025	$565,000	$26,010	Complete
Security camera upgrade	Building	04/07/24	Q3 2027	$107,000	$41,620	Deferred
Door hardware	Interior	01/23/26	Q2 2027	$51,000	$9,456	Bidding
Sewer line repair	Energy	07/01/25	Q3 2025	$618,000	$556,635	Approved
LED lighting retrofit	Interior	03/17/23	Q4 2027	$497,000	$8,421	Approved
Exterior paint	Energy	11/19/26	Q3 2027	$475,000	$84,060	In progress
HVAC replacement	Building	12/29/26	Q3 2025	$752,000	$305,285	Approved
HVAC replacement	Building	02/14/24	Q2 2027	$113,000	$83,444	Deferred
Pool resurfacing	Life Safety	10/27/24	Q4 2025	$100,000	$3,956	Complete
ADA compliance	Energy	08/07/23	Q4 2026	$349,000	$37,107	Approved
Elevator modernization	Life Safety	11/23/26	Q2 2025	$484,000	$283,074	Deferred
Unit interior upgrades	Interior	03/06/26	Q3 2026	$167,000	$121,165	Approved
Fire alarm panel upgrade	Life Safety	02/12/23	Q3 2027	$727,000	$670,293	In progress
Signage / monument	Energy	12/02/23	Q2 2026	$559,000	$258,398	Approved
Signage / monument	Site	07/09/23	Q4 2025	$97,000	$46,045	Bidding

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Income and Expense Review

Percentage rent and CAM reimbursements are tracked separately for the commercial component. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $137,000 or approximately 33.31 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 7.4% over the hold period.

The property is walkable to transit, with 10 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Operating expenses totaled $30,000 or approximately 7.20 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $443,000, representing a 5.5% increase over the prior year. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses.

Supply and Demand

The Raleigh Mixed-Use market has experienced absorption of 1000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Kestrel Station District is located in Raleigh, NC, a market that has recorded 2.7% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 13 structured parking spaces shared between uses. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Rent growth in the submarket has averaged 4.0% annually over the past 7 years. Median household income within a 6-mile radius of the property is approximately $231,000 and has grown 11.6% annually.

Valuation Discussion

Debt service coverage ratio was 5.68x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $472,000 or approximately 20.73 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 6.89% reflects the in-place income and the stabilized occupancy assumption. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

The going-in capitalization rate of 5.09% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.15x on a trailing basis against a covenant minimum of 1.20x. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 5 structured parking spaces shared between uses. Effective gross income for the trailing period was $184,000, representing a 8.6% increase over the prior year.

Submarket Analysis

The property is walkable to transit, with 23 structured parking spaces shared between uses. Market vacancy for comparable Mixed-Use product stands at 7.8%, down from 3.7% two years ago. The Raleigh Mixed-Use market has experienced absorption of 300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Market vacancy for comparable Mixed-Use product stands at 6.8%, down from 4.4% two years ago. Median household income within a 7-mile radius of the property is approximately $351,000 and has grown 10.2% annually. Rent growth in the submarket has averaged 6.1% annually over the past 3 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Kestrel Station District is located in Raleigh, NC, a market that has recorded 4.9% population growth over the last five years.

Valuation Discussion

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 6.05% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$44,206	$45,775	$46,785	$2,579	5.8%	$1,169.62
5010 Loss to Lease	$60,297	$65,097	$69,470	$9,173	15.2%	$1,736.76
5020 Vacancy Loss	$56,830	$56,937	$60,357	$3,527	6.2%	$1,508.93
5030 Concessions	$19,082	$18,391	$19,177	$95	0.5%	$479.43
5040 Bad Debt	$35,816	$38,652	$41,046	$5,230	14.6%	$1,026.16
5050 Late Fees	$41,626	$43,246	$45,025	$3,400	8.2%	$1,125.64
5060 Utility Reimbursements	$28,409	$30,667	$31,523	$3,113	11.0%	$788.07
5070 Parking Income	$38,012	$39,180	$41,565	$3,554	9.3%	$1,039.13
5080 Application Fees	$17,808	$16,432	$16,932	-$875	-4.9%	$423.31
5090 Pet Rent	$47,961	$48,594	$51,005	$3,044	6.3%	$1,275.13
5100 Laundry Income	$18,155	$16,914	$17,911	-$244	-1.3%	$447.78
5110 Cable/Internet Revenue	$22,784	$21,412	$22,660	-$124	-0.5%	$566.50
5120 CAM Reimbursements	$47,161	$49,018	$49,755	$2,594	5.5%	$1,243.86
5130 Tax Reimbursements	$61,361	$64,349	$65,238	$3,877	6.3%	$1,630.94
5140 Insurance Reimbursements	$29,479	$27,182	$27,407	-$2,072	-7.0%	$685.18
5150 Percentage Rent	$51,138	$51,561	$53,748	$2,610	5.1%	$1,343.69
5160 Misc. Income	$44,349	$45,369	$45,737	$1,389	3.1%	$1,143.44
5170 Payroll - Management	$32,016	$31,697	$31,790	-$226	-0.7%	$794.76
5180 Payroll - Leasing	$55,706	$57,103	$57,475	$1,769	3.2%	$1,436.87
5190 Payroll - Maintenance	$34,088	$33,230	$33,316	-$772	-2.3%	$832.91
5200 Payroll Taxes & Benefits	$4,019	$4,144	$4,191	$172	4.3%	$104.78
5210 Repairs - Plumbing	$43,422	$44,755	$46,933	$3,511	8.1%	$1,173.33
5220 Repairs - HVAC	$63,743	$66,034	$67,621	$3,878	6.1%	$1,690.53
5230 Repairs - Electrical	$23,897	$25,692	$26,638	$2,742	11.5%	$665.96
5240 Repairs - Appliances	$59,462	$57,215	$57,712	-$1,749	-2.9%	$1,442.81
5250 Painting & Decorating	$6,253	$5,863	$5,913	-$340	-5.4%	$147.82
5260 Flooring	$17,036	$16,254	$17,151	$115	0.7%	$428.77
5270 Make-Ready / Turnover	$29,146	$27,934	$29,875	$729	2.5%	$746.88
5280 Landscaping Contract	$19,743	$18,525	$19,239	-$504	-2.6%	$480.98
5290 Snow Removal	$24,586	$26,320	$27,073	$2,487	10.1%	$676.82
5300 Janitorial	$62,907	$65,547	$66,593	$3,686	5.9%	$1,664.82
5310 Pest Control	$63,674	$59,975	$60,571	-$3,104	-4.9%	$1,514.26
5320 Trash Removal	$21,831	$22,552	$23,557	$1,726	7.9%	$588.92
5330 Elevator Contract	$47,585	$44,308	$45,866	-$1,719	-3.6%	$1,146.65
5340 Fire & Life Safety	$41,531	$42,685	$43,556	$2,026	4.9%	$1,088.91
5350 Security	$61,501	$57,671	$58,762	-$2,740	-4.5%	$1,469.04
5360 Electricity - Common	$32,851	$34,452	$36,777	$3,926	12.0%	$919.42
5370 Gas - Common	$29,297	$31,296	$31,781	$2,484	8.5%	$794.53
5380 Water & Sewer	$46,088	$44,836	$47,132	$1,044	2.3%	$1,178.30
5390 Telephone/Internet	$12,386	$12,556	$12,832	$446	3.6%	$320.80
5400 Advertising	$52,724	$56,026	$58,086	$5,361	10.2%	$1,452.14
5410 Resident Events	$16,371	$16,469	$17,428	$1,056	6.5%	$435.69

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Risk Considerations

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Projected levered IRR is 5.1% with an equity multiple of 1.29x over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 45 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 7 hours. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 39 additional team members. Collections for the period were 94.1% of billed charges, with bad debt of 3.2% of gross potential income. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The property is walkable to transit, with 18 structured parking spaces shared between uses. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Investor Distributions

The property is walkable to transit, with 23 structured parking spaces shared between uses. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Projected levered IRR is 8.1% with an equity multiple of 1.15x over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.4% of billed charges, with bad debt of 4.6% of gross potential income. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Collections for the period were 89.1% of billed charges, with bad debt of 6.0% of gross potential income. The property is walkable to transit, with 35 structured parking spaces shared between uses. Service requests are tracked through a work-order system with an average completion time of 27 hours. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis.

Risk Considerations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg C	Building	02/15/24	Q1 2025	$768,000	$435,022	In progress
ADA compliance	Life Safety	12/26/25	Q3 2027	$143,000	$115,817	Approved
HVAC replacement	Building	02/13/23	Q1 2027	$224,000	$232,364	Deferred
Amenity renovation	Energy	04/06/25	Q2 2027	$179,000	$90,910	Bidding
Fence replacement	Energy	10/01/25	Q2 2025	$307,000	$293,868	Complete
Fire alarm panel upgrade	Building	08/07/24	Q4 2026	$678,000	$322,490	Approved
Exterior paint	Interior	12/05/24	Q2 2025	$415,000	$132,832	Complete
ADA compliance	Energy	12/15/26	Q4 2027	$109,000	$52,592	In progress
HVAC replacement	Energy	11/02/26	Q4 2026	$752,000	$414,974	Deferred
LED lighting retrofit	Interior	04/22/26	Q2 2027	$520,000	$75,255	Deferred
Fire alarm panel upgrade	Interior	05/28/26	Q3 2026	$900,000	$286,578	Approved
Parking lot resurfacing	Site	07/11/23	Q3 2027	$101,000	$31,633	Approved
Fire alarm panel upgrade	Energy	05/16/25	Q4 2027	$883,000	$926,130	Complete
Exterior paint	Energy	06/29/23	Q3 2027	$601,000	$90,626	Deferred
Amenity renovation	Interior	03/03/23	Q2 2027	$318,000	$164,987	In progress
Door hardware	Interior	03/10/24	Q2 2027	$665,000	$207,383	In progress
Lobby renovation	Life Safety	02/15/26	Q1 2027	$369,000	$291,620	Bidding
Storefront glazing	Life Safety	12/05/25	Q2 2027	$82,000	$68,761	Deferred
Elevator modernization	Interior	10/16/25	Q3 2025	$753,000	$636,581	Deferred
Sewer line repair	Life Safety	12/26/26	Q3 2025	$385,000	$116,643	Approved
Elevator modernization	Site	08/14/24	Q4 2026	$718,000	$193,515	Bidding
Unit interior upgrades	Life Safety	04/08/26	Q1 2025	$23,000	$11,692	Complete
Lobby renovation	Building	01/14/26	Q3 2025	$422,000	$386,744	In progress
Roof replacement - Bldg D	Interior	03/29/25	Q3 2025	$448,000	$221,986	Complete
Elevator modernization	Building	10/05/24	Q2 2025	$741,000	$684,471	Approved
Water heater replacement	Building	11/23/23	Q3 2027	$293,000	$81,147	Deferred
Parking lot resurfacing	Life Safety	02/18/25	Q2 2027	$571,000	$271,541	In progress
Parking lot resurfacing	Site	03/10/26	Q4 2026	$418,000	$111,230	Complete
Storefront glazing	Site	05/14/24	Q4 2027	$367,000	$9,351	In progress
Pool resurfacing	Interior	05/30/26	Q3 2025	$583,000	$344,997	Approved
Pool resurfacing	Life Safety	09/07/23	Q1 2025	$553,000	$481,160	Bidding
HVAC replacement	Interior	07/19/26	Q3 2027	$331,000	$327,228	Bidding
Unit interior upgrades	Site	11/23/26	Q4 2025	$787,000	$294,178	Complete
Sewer line repair	Building	12/13/24	Q4 2025	$245,000	$47,618	Deferred
Water heater replacement	Life Safety	09/21/23	Q3 2025	$71,000	$34,307	Complete
Fire alarm panel upgrade	Site	12/25/26	Q1 2027	$239,000	$182,234	In progress
Fence replacement	Building	10/29/26	Q2 2026	$183,000	$37,552	Approved
Parking lot resurfacing	Energy	01/23/23	Q4 2027	$892,000	$252,743	Approved
Parking lot resurfacing	Life Safety	09/03/25	Q1 2027	$624,000	$246,818	Deferred
Fence replacement	Building	05/30/26	Q3 2025	$857,000	$793,174	Bidding
Fence replacement	Site	03/16/24	Q4 2026	$727,000	$125,551	Deferred
Unit interior upgrades	Building	04/24/23	Q3 2025	$46,000	$31,349	In progress
Parking lot resurfacing	Site	08/02/25	Q4 2027	$53,000	$12,769	Approved

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Operating Performance

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The property is walkable to transit, with 24 structured parking spaces shared between uses. Debt service coverage ratio was 5.45x on a trailing basis against a covenant minimum of 1.20x. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Operating expenses totaled $427,000 or approximately 18.70 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $474,000, representing a 13.6% increase over the prior year.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. The property is walkable to transit, with 20 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Operating expenses totaled $130,000 or approximately 13.07 per square foot, with real estate taxes representing the largest line item.

Submarket Analysis

Market vacancy for comparable Mixed-Use product stands at 2.2%, down from 6.5% two years ago. The property is walkable to transit, with 38 structured parking spaces shared between uses. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Mixed-Use assets in Raleigh remains strong with recent trades at capitalization rates between 6.47% and 6.47%. The Raleigh Mixed-Use market has experienced absorption of 3800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 5-mile radius of the property is approximately $320,000 and has grown 2.8% annually.

Kestrel Station District is located in Raleigh, NC, a market that has recorded 10.8% population growth over the last five years. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Market vacancy for comparable Mixed-Use product stands at 11.1%, down from 7.0% two years ago. The Raleigh Mixed-Use market has experienced absorption of 200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Rent growth in the submarket has averaged 3.3% annually over the past 8 years. The property is walkable to transit, with 30 structured parking spaces shared between uses.

Valuation Discussion

Debt service coverage ratio was 7.52x on a trailing basis against a covenant minimum of 1.20x. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The going-in capitalization rate of 6.71% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 3.9% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 7.16% reflects the in-place income and the stabilized occupancy assumption. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Debt service coverage ratio was 7.12x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. The property is walkable to transit, with 24 structured parking spaces shared between uses. Effective gross income for the trailing period was $182,000, representing a 8.7% increase over the prior year.

Submarket Analysis

Investor demand for Mixed-Use assets in Raleigh remains strong with recent trades at capitalization rates between 8.17% and 8.17%. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 4.8% annually over the past 3 years. Market vacancy for comparable Mixed-Use product stands at 3.8%, down from 4.2% two years ago.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. Investor demand for Mixed-Use assets in Raleigh remains strong with recent trades at capitalization rates between 6.97% and 6.97%. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 6-mile radius of the property is approximately $198,000 and has grown 9.2% annually. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Financial Analysis

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5420 Office Supplies	$52,608	$55,181	$58,070	$5,462	10.4%	$1,451.75
5430 Legal & Professional	$62,473	$65,440	$69,445	$6,972	11.2%	$1,736.11
5440 Accounting & Audit	$4,789	$4,871	$4,938	$149	3.1%	$123.45
5450 Licenses & Permits	$36,862	$38,847	$38,890	$2,028	5.5%	$972.24
5460 Management Fee	$3,248	$3,126	$3,325	$77	2.4%	$83.11
5470 Property Insurance	$46,451	$45,464	$46,379	-$72	-0.2%	$1,159.48
5480 Real Estate Taxes	$43,823	$46,481	$48,626	$4,803	11.0%	$1,215.65
5490 Asset Management Fee	$3,188	$3,397	$3,420	$232	7.3%	$85.51
5500 Replacement Reserves	$58,556	$54,383	$56,040	-$2,516	-4.3%	$1,400.99
5510 Roof Repairs	$39,302	$40,038	$41,159	$1,857	4.7%	$1,028.98
5520 Parking Lot Repairs	$58,286	$57,882	$60,777	$2,490	4.3%	$1,519.41
5530 Signage	$46,889	$44,770	$45,650	-$1,238	-2.6%	$1,141.26
5540 Tenant Improvements	$36,545	$34,070	$35,307	-$1,238	-3.4%	$882.67
5550 Leasing Commissions	$29,722	$30,240	$31,466	$1,744	5.9%	$786.66
5000 Gross Potential Rent	$50,414	$46,697	$48,753	-$1,661	-3.3%	$1,218.83
5010 Loss to Lease	$12,479	$12,972	$13,554	$1,076	8.6%	$338.86
5020 Vacancy Loss	$12,730	$12,591	$13,442	$712	5.6%	$336.04
5030 Concessions	$17,769	$17,270	$17,392	-$377	-2.1%	$434.79
5040 Bad Debt	$32,173	$33,194	$34,377	$2,204	6.9%	$859.43
5050 Late Fees	$51,221	$48,801	$50,483	-$738	-1.4%	$1,262.07
5060 Utility Reimbursements	$43,424	$40,172	$41,157	-$2,267	-5.2%	$1,028.94
5070 Parking Income	$16,076	$15,287	$15,644	-$432	-2.7%	$391.10
5080 Application Fees	$29,107	$28,068	$29,471	$364	1.2%	$736.78
5090 Pet Rent	$49,076	$48,260	$50,072	$997	2.0%	$1,251.81
5100 Laundry Income	$7,076	$7,236	$7,504	$428	6.1%	$187.60
5110 Cable/Internet Revenue	$60,957	$61,373	$65,325	$4,368	7.2%	$1,633.12
5120 CAM Reimbursements	$30,638	$29,208	$30,700	$61	0.2%	$767.49
5130 Tax Reimbursements	$8,074	$7,569	$7,876	-$198	-2.5%	$196.91
5140 Insurance Reimbursements	$55,608	$53,100	$54,372	-$1,237	-2.2%	$1,359.29
5150 Percentage Rent	$23,067	$23,176	$24,354	$1,287	5.6%	$608.85
5160 Misc. Income	$11,608	$11,099	$11,473	-$135	-1.2%	$286.82
5170 Payroll - Management	$21,362	$19,776	$21,056	-$307	-1.4%	$526.39
5180 Payroll - Leasing	$55,331	$57,110	$57,691	$2,360	4.3%	$1,442.28
5190 Payroll - Maintenance	$3,405	$3,162	$3,373	-$32	-0.9%	$84.34
5200 Payroll Taxes & Benefits	$47,275	$47,236	$50,327	$3,052	6.5%	$1,258.18
5210 Repairs - Plumbing	$30,385	$32,072	$32,888	$2,503	8.2%	$822.19
5220 Repairs - HVAC	$43,006	$41,211	$42,923	-$83	-0.2%	$1,073.07
5230 Repairs - Electrical	$11,272	$11,084	$11,488	$216	1.9%	$287.21
5240 Repairs - Appliances	$42,301	$42,982	$44,209	$1,909	4.5%	$1,105.24
5250 Painting & Decorating	$18,455	$19,124	$19,459	$1,004	5.4%	$486.48
5260 Flooring	$17,923	$19,311	$19,796	$1,873	10.4%	$494.90
5270 Make-Ready / Turnover	$20,949	$20,613	$22,035	$1,087	5.2%	$550.88

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Business Plan Progress

The property is walkable to transit, with 28 structured parking spaces shared between uses. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 3.6% on contributed capital.

Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 8.0% on contributed capital. Projected levered IRR is 9.7% with an equity multiple of 1.21x over the hold period. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The property is walkable to transit, with 23 structured parking spaces shared between uses.

Property Operations

The property is walkable to transit, with 12 structured parking spaces shared between uses. The manager completes a monthly walk of the property and submits a variance report to the owner by the 33th business day. Service requests are tracked through a work-order system with an average completion time of 15 hours. Collections for the period were 88.7% of billed charges, with bad debt of 6.5% of gross potential income.

The property is walkable to transit, with 10 structured parking spaces shared between uses. The manager completes a monthly walk of the property and submits a variance report to the owner by the 46th business day. Percentage rent and CAM reimbursements are tracked separately for the commercial component. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 46 additional team members. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Business Plan Progress

Distributions to investors for the quarter were paid at an annualized rate of 5.0% on contributed capital. Projected levered IRR is 4.5% with an equity multiple of 1.38x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Percentage rent and CAM reimbursements are tracked separately for the commercial component. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 19 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Service requests are tracked through a work-order system with an average completion time of 32 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The property is walkable to transit, with 20 structured parking spaces shared between uses. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 6th business day. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Service requests are tracked through a work-order system with an average completion time of 3 hours.

Risk Considerations

Percentage rent and CAM reimbursements are tracked separately for the commercial component. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. The project combines ground-floor retail and restaurant space with upper-level residential and office components. The property is walkable to transit, with 28 structured parking spaces shared between uses.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Lobby renovation	Interior	09/21/25	Q2 2025	$703,000	$218,994	Approved
Parking lot resurfacing	Energy	03/07/23	Q4 2025	$741,000	$741,779	Deferred
Water heater replacement	Energy	04/12/24	Q3 2027	$240,000	$80,829	Complete
Fence replacement	Interior	08/16/24	Q4 2025	$51,000	$46,504	In progress
Unit interior upgrades	Building	01/26/25	Q4 2027	$44,000	$2,572	Deferred
Door hardware	Life Safety	06/23/23	Q4 2025	$437,000	$88,407	Bidding
Parking lot resurfacing	Life Safety	02/28/26	Q1 2027	$39,000	$36,384	Complete
Water heater replacement	Life Safety	02/03/26	Q3 2026	$465,000	$178,917	Approved
Fence replacement	Interior	02/18/23	Q3 2026	$55,000	$22,467	Bidding
Storefront glazing	Building	04/01/23	Q4 2025	$278,000	$9,006	Approved
Lobby renovation	Life Safety	01/17/26	Q3 2027	$810,000	$182,249	Deferred
Parking lot resurfacing	Site	02/20/23	Q2 2026	$847,000	$23,905	Bidding
HVAC replacement	Life Safety	01/17/23	Q3 2027	$455,000	$445,132	Approved
LED lighting retrofit	Energy	08/15/26	Q4 2025	$562,000	$325,917	In progress
Signage / monument	Energy	04/26/24	Q2 2025	$140,000	$122,281	Bidding
Fence replacement	Site	01/11/23	Q2 2027	$478,000	$130,367	Complete
Parking lot resurfacing	Interior	02/16/23	Q1 2026	$310,000	$302,279	Approved
Storefront glazing	Energy	08/24/24	Q1 2025	$749,000	$304,898	In progress
Elevator modernization	Interior	05/12/26	Q3 2026	$87,000	$85,485	In progress
LED lighting retrofit	Site	11/21/24	Q3 2025	$404,000	$301,563	Approved
Signage / monument	Site	03/25/26	Q4 2026	$596,000	$170,091	Deferred
Sewer line repair	Interior	09/09/26	Q2 2025	$513,000	$151,950	Bidding
Unit interior upgrades	Energy	10/02/26	Q4 2025	$94,000	$43,659	Approved
Fire alarm panel upgrade	Interior	01/15/23	Q2 2025	$651,000	$372,609	Bidding
Amenity renovation	Energy	04/20/23	Q3 2026	$669,000	$600,084	In progress
Roof replacement - Bldg D	Life Safety	08/15/23	Q4 2026	$118,000	$104,267	Deferred
Roof replacement - Bldg B	Site	02/24/26	Q3 2026	$815,000	$455,206	Approved
Storefront glazing	Building	10/12/24	Q1 2025	$479,000	$361,515	Complete
Pool resurfacing	Building	04/24/23	Q3 2027	$463,000	$305,848	Bidding
Pool resurfacing	Life Safety	11/24/25	Q4 2025	$379,000	$20,773	In progress
Amenity renovation	Building	06/18/23	Q4 2025	$822,000	$802,796	Deferred
Unit interior upgrades	Life Safety	06/28/25	Q3 2027	$125,000	$55,991	Deferred
Pool resurfacing	Life Safety	05/06/26	Q3 2027	$312,000	$35,082	Deferred
Door hardware	Life Safety	11/13/23	Q3 2027	$372,000	$193,798	Deferred
Storefront glazing	Life Safety	11/08/26	Q2 2025	$34,000	$35,166	Bidding
Amenity renovation	Building	12/05/26	Q2 2027	$871,000	$830,273	Approved
Amenity renovation	Building	07/21/23	Q1 2027	$877,000	$632,418	Approved
Fire alarm panel upgrade	Life Safety	02/16/24	Q3 2026	$673,000	$268,942	In progress
Roof replacement - Bldg A	Life Safety	08/21/24	Q1 2026	$312,000	$127,904	Complete
Parking lot resurfacing	Building	08/19/26	Q2 2025	$378,000	$267,812	Approved
Fence replacement	Site	11/06/24	Q4 2025	$397,000	$130,638	Approved

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Operating Performance

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 5.0% over the hold period. The property is walkable to transit, with 16 structured parking spaces shared between uses. The going-in capitalization rate of 5.95% reflects the in-place income and the stabilized occupancy assumption.

The project combines ground-floor retail and restaurant space with upper-level residential and office components. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.6% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Debt service coverage ratio was 5.34x on a trailing basis against a covenant minimum of 1.20x.

Supply and Demand

Median household income within a 7-mile radius of the property is approximately $478,000 and has grown 10.1% annually. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Employment growth is led by healthcare, logistics, education and professional services sectors. Market vacancy for comparable Mixed-Use product stands at 3.5%, down from 7.7% two years ago. Investor demand for Mixed-Use assets in Raleigh remains strong with recent trades at capitalization rates between 7.16% and 7.16%. Rent growth in the submarket has averaged 3.1% annually over the past 11 years.

The property is walkable to transit, with 21 structured parking spaces shared between uses. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. The Raleigh Mixed-Use market has experienced absorption of 800 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Market vacancy for comparable Mixed-Use product stands at 6.1%, down from 3.1% two years ago.

Operating Performance

Effective gross income for the trailing period was $428,000, representing a 3.8% increase over the prior year. The going-in capitalization rate of 5.56% reflects the in-place income and the stabilized occupancy assumption. The property is walkable to transit, with 23 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses.

Net operating income is projected to grow at a compound annual rate of 3.5% over the hold period. Debt service coverage ratio was 5.46x on a trailing basis against a covenant minimum of 1.20x. The property is walkable to transit, with 44 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

Submarket Analysis

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Residential units are leased on 12-month terms while the commercial component is leased on a triple net basis. Market vacancy for comparable Mixed-Use product stands at 11.3%, down from 7.5% two years ago. The project combines ground-floor retail and restaurant space with upper-level residential and office components.

Median household income within a 4-mile radius of the property is approximately $128,000 and has grown 5.9% annually. The property is walkable to transit, with 19 structured parking spaces shared between uses. Percentage rent and CAM reimbursements are tracked separately for the commercial component. Market vacancy for comparable Mixed-Use product stands at 12.3%, down from 4.3% two years ago. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Rent growth in the submarket has averaged 7.0% annually over the past 12 years.

Operating Performance

Net operating income is projected to grow at a compound annual rate of 6.0% over the hold period. The project combines ground-floor retail and restaurant space with upper-level residential and office components. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $54,000, representing a 11.9% increase over the prior year. Percentage rent and CAM reimbursements are tracked separately for the commercial component.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5300 Janitorial	$11,071	$11,756	$11,932	$861	7.8%	$298.31
5310 Pest Control	$5,548	$5,626	$5,801	$253	4.6%	$145.02
5320 Trash Removal	$33,922	$35,177	$36,955	$3,033	8.9%	$923.87
5330 Elevator Contract	$10,584	$10,505	$11,098	$514	4.9%	$277.45
5340 Fire & Life Safety	$19,340	$18,699	$19,742	$402	2.1%	$493.56
5350 Security	$40,261	$41,308	$43,719	$3,458	8.6%	$1,092.97
5360 Electricity - Common	$51,804	$55,548	$57,277	$5,473	10.6%	$1,431.93
5370 Gas - Common	$56,673	$59,784	$60,584	$3,911	6.9%	$1,514.60
5380 Water & Sewer	$35,360	$36,612	$36,657	$1,298	3.7%	$916.43
5390 Telephone/Internet	$32,860	$32,280	$34,017	$1,158	3.5%	$850.44
5400 Advertising	$37,465	$39,812	$42,019	$4,554	12.2%	$1,050.49
5410 Resident Events	$30,062	$28,197	$29,086	-$976	-3.2%	$727.15
5420 Office Supplies	$59,326	$55,812	$57,817	-$1,509	-2.5%	$1,445.42
5430 Legal & Professional	$26,200	$25,623	$26,327	$127	0.5%	$658.17
5440 Accounting & Audit	$4,313	$4,109	$4,255	-$58	-1.3%	$106.36
5450 Licenses & Permits	$28,324	$28,261	$29,889	$1,565	5.5%	$747.22
5460 Management Fee	$41,443	$39,945	$42,560	$1,117	2.7%	$1,063.99
5470 Property Insurance	$15,795	$15,425	$15,805	$11	0.1%	$395.14
5480 Real Estate Taxes	$27,663	$27,588	$28,597	$934	3.4%	$714.93
5490 Asset Management Fee	$56,925	$56,043	$59,804	$2,879	5.1%	$1,495.11
5500 Replacement Reserves	$31,668	$33,387	$34,412	$2,744	8.7%	$860.31
5510 Roof Repairs	$17,872	$18,202	$18,969	$1,097	6.1%	$474.22
5520 Parking Lot Repairs	$52,260	$52,384	$52,798	$538	1.0%	$1,319.96
5530 Signage	$17,809	$18,522	$19,204	$1,395	7.8%	$480.10
5540 Tenant Improvements	$43,985	$40,709	$42,031	-$1,954	-4.4%	$1,050.78
5550 Leasing Commissions	$9,332	$8,933	$9,259	-$73	-0.8%	$231.47
5000 Gross Potential Rent	$60,720	$59,628	$60,035	-$685	-1.1%	$1,500.87
5010 Loss to Lease	$11,872	$12,771	$13,071	$1,198	10.1%	$326.77
5020 Vacancy Loss	$18,234	$19,508	$20,174	$1,940	10.6%	$504.35
5030 Concessions	$3,265	$3,166	$3,248	-$16	-0.5%	$81.20
5040 Bad Debt	$16,576	$16,410	$16,458	-$118	-0.7%	$411.45
5050 Late Fees	$39,770	$36,708	$37,063	-$2,707	-6.8%	$926.56
5060 Utility Reimbursements	$8,322	$8,019	$8,503	$181	2.2%	$212.58
5070 Parking Income	$8,714	$9,185	$9,744	$1,029	11.8%	$243.59
5080 Application Fees	$35,974	$36,335	$37,930	$1,955	5.4%	$948.24
5090 Pet Rent	$59,599	$61,332	$64,936	$5,338	9.0%	$1,623.41
5100 Laundry Income	$59,497	$56,694	$57,877	-$1,621	-2.7%	$1,446.92
5110 Cable/Internet Revenue	$28,282	$28,988	$29,283	$1,001	3.5%	$732.06
5120 CAM Reimbursements	$44,504	$44,483	$45,641	$1,137	2.6%	$1,141.01
5130 Tax Reimbursements	$59,538	$57,639	$60,922	$1,383	2.3%	$1,523.05
5140 Insurance Reimbursements	$7,830	$8,296	$8,392	$561	7.2%	$209.79
5150 Percentage Rent	$59,148	$54,809	$57,181	-$1,968	-3.3%	$1,429.52
5160 Misc. Income	$16,335	$17,626	$17,738	$1,403	8.6%	$443.44

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Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Kestrel Station District and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of NC. This document relates solely to Kestrel Station District and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. This document relates solely to Kestrel Station District and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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